17
Honour or negotiation

Learning objectives

This chapter provides an overview of the concept of honour and negotiation.

By the end of this chapter, you should be able to:

- explain the different settlement terms;
- understand settlement flows;
- explain the terms 'honour', 'negotiation' and 'prepay and purchase', and understand how they are used; and
- explain transmission of proceeds.

17.1 Introduction

This chapter focuses on the settlement process.

With a documentary credit, the settlement process is driven by the presentation of complying documents. If complying documents are presented, UCP 600 requires that a bank act according to its own defined and agreed role and / or the undertaking that it may have given under that documentary credit. The delivery of documents to the applicant and the control over the goods that those documents may have is similarly driven by the presentation of complying documents.

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17.2 Settlement

In simple terms, if a presentation has been examined and found to be complying, or if a waiver of discrepancies has been obtained from an applicant and is acceptable to the issuing bank, settlement should be made to the presenter without delay and in accordance with the availability conditions expressed in the documentary credit.

Whether or not a nominated bank or a confirming bank accepts the issuing bank's advice of acceptance of discrepancies will determine which bank will make such settlement to the beneficiary.

17.2.1 Settlement terms

UCP 600, article 2, provides definitions of 'honour' and 'negotiation'

Honour means:

a. to pay at sight if the credit is available by sight payment.

b. to incur a deferred payment undertaking and pay at maturity if the credit is available by deferred payment.

c. to accept a bill of exchange ("draft") drawn by the beneficiary and pay at maturity if the credit is available by acceptance.

[…]

Negotiation means the purchase by the nominated bank of drafts (drawn on a bank other than the nominated bank) and/or documents under a complying presentation, by advancing or agreeing to advance funds to the beneficiary on or before the banking day on which reimbursement is due to the nominated bank.

UCP 600, sub-article 6(b), provides as follows.

b. A credit must state whether it is available by sight payment, deferred payment, acceptance or negotiation.

The settlement requirements for these forms of availability, when a complying presentation has been made, are as follows.

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Note: For the purpose of the content of this section, and where applicable, the documentary credit is to be considered as expiring at the counters of a nominated bank.

◆ **By sight payment**

- A confirming bank must honour by effecting payment, and such honour is without recourse.

- A nominated bank may or may not honour. Any honour of the drawing, by effecting payment to the beneficiary, is generally without recourse, unless the nominated bank has entered into a recourse agreement with that beneficiary.

- An issuing bank must honour by effecting payment, and such honour is without recourse.

The documentary credit may or may not stipulate a requirement for a sight draft.

◆ **By deferred payment**

- A confirming bank must honour by incurring a deferred payment undertaking and paying at maturity, and such honour is without recourse.

- A nominated bank may or may not incur a deferred payment undertaking. When incurred, a deferred payment undertaking and its payment at maturity are without recourse.

- An issuing bank must honour by incurring a deferred payment undertaking and paying at maturity, and such honour is without recourse.

The documentary credit will not stipulate a requirement for a draft.

Note: An issuing bank or confirming bank is required to incur a deferred payment undertaking and/or to pay at maturity when a nominated bank or another nominated bank does not incur a deferred payment undertaking or, having incurred a deferred payment undertaking, does not pay at maturity. In this respect, UCP 600, sub-articles 7(a)(ii)–(v) and 8(a)(i)(b)–(e), should be referred to respectively. The effect of UCP 600, sub-articles 8(a)(i)(b)–(e) can be modified by the wording of the confirmation advice as indicated in Chapter 10, section 10.1.2.

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◆ **By acceptance**

- A confirming bank must honour by accepting a draft drawn on it and paying at maturity, and such honour is without recourse.

- A nominated bank may or may not accept a draft that is to be drawn on it. When accepted, a draft and its payment at maturity are without recourse.

- An issuing bank must honour by accepting a draft drawn on it and paying at maturity, and such honour is without recourse.

Note: An issuing bank or confirming bank is required to accept a draft and / or to pay at maturity when a nominated bank or another nominated bank does not accept a draft or, having accepted a draft, does not pay at maturity. In this respect, UCP 600, sub-articles 7(a)(ii)–(v) and 8(a)(i)(b)–(e), should be referred to respectively. The effect of UCP 600, sub-articles 8(a)(i)(b)–(e) can be modified by the wording of the confirmation advice as indicated in Chapter 10, section 10.1.2.

◆ **By negotiation**

- A confirming bank must advance funds or agree to advance funds to the beneficiary on or before the banking day on which reimbursement is due to it. Negotiation is effected without recourse.

- A nominated bank may advance funds or may agree to advance funds to the beneficiary on or before the banking day on which reimbursement is due to it. Negotiation is effected either with or without recourse.

- An issuing bank cannot issue a documentary credit that is available with it by negotiation. An issuing bank can only pay at sight, accept a draft and pay at maturity, or incur a deferred payment undertaking and pay at maturity. An issuing bank does not negotiate.

17.2.1.1 Considerations

As mentioned in Chapter 7, an issuing bank, depending on the terms of its documentary credit, may allow a nominated bank to obtain reimbursement by sending to it a SWIFT or telex message claiming reimbursement for a complying presentation that has been made, or by authorising the nominated bank to debit the account of the issuing bank that is held with that nominated bank, or by authorising the nominated bank to claim reimbursement from a reimbursing bank, or by undertaking to reimburse the nominated bank in accordance with its instructions, upon receipt of a complying presentation.

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For a letter of credit that is available by sight payment, the concern for an issuing bank is that funds are paid (or are available) to the nominated bank before the issuing bank has had an opportunity to examine the documents. The procedures for obtaining a refund can often prove to be difficult and arduous. If a document examiner finds discrepancies upon receipt of documents for which the nominated bank's covering schedule indicates that reimbursement has already been obtained, he or she must provide a notice of refusal and consider whether a request for a refund is warranted at that time. If not made as part of the refusal message, a request for a refund may be made at a later date if the discrepancies are not subsequently waived by the applicant or issuing bank.

17.2.2 Complying documents

When a complying presentation has been made, a beneficiary can receive settlement from:

- a nominated bank that is willing to act on a nomination for it to honour or negotiate, which bank will be reimbursed in accordance with the terms and conditions expressed in the documentary credit;
- a confirming bank, if any, which will honour or negotiate in accordance with the undertaking given in its advice of confirmation, which bank will be reimbursed in accordance with the terms and conditions expressed in the documentary credit; or
- the issuing bank, which will honour a presentation made directly to it.

These principles are covered in **UCP 600, article 15**. Note that a nominated bank and a confirming bank may be one and the same bank.

a. When an issuing bank determines that a presentation is complying, it must honour.

b. When a confirming bank determines that a presentation is complying, it must honour or negotiate and forward the documents to the issuing bank.

c. When a nominated bank determines that a presentation is complying and honours or negotiates, it must forward the documents to the confirming bank or issuing bank.

The issuing bank will seek reimbursement from the applicant for any settlement made to a confirming bank, nominated bank or beneficiary.

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17.2.3 Non-complying documents

If the presented documents do not comply and they are not capable of being corrected or replaced, no bank is under any obligation to honour or negotiate.

If the documents apparently comply in the view of one bank, but not that of another, the position, in simple terms, is as follows.

- If documents are considered to be compliant by a nominated bank, but not by the confirming bank:
  - the confirming bank need not reimburse the nominated bank or may seek refund of any amount that the nominated bank has already received from the confirming bank; and
  - the nominated bank may be able to recover funds from the beneficiary if settlement was made with recourse.
- If documents are considered to be compliant by a nominated bank, but not by the issuing bank:
  - the issuing bank need not reimburse the nominated bank, or may seek refund of any amount that the nominated bank has already received from the issuing bank or a reimbursing bank; and
  - the nominated bank may be able to recover funds from the beneficiary if settlement was made with recourse.
- If documents are considered to be compliant by the confirming bank, but not by the issuing bank:
  - the issuing bank need not reimburse the confirming bank, or may seek refund of any amount that the confirming bank has already received from the issuing bank or a reimbursing bank; and
  - the confirming bank cannot recover funds from a nominated bank or beneficiary, because its settlement was made without recourse.
- If documents are considered to be compliant by the issuing bank, but not by the applicant:
  - the applicant need not reimburse the issuing bank, or may seek refund of any amount that has already been debited to its account; and

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- the issuing bank cannot recover funds from the confirming bank, a nominated bank or the beneficiary, because its settlement was made without recourse.

17.2.3.1 Settlement considerations

When determining settlement terms, a document examiner must check whether or not any of the following considerations apply. These issues will determine the precise nature and amount of settlement.

- **A mix of settlement terms** – occasionally, a documentary credit will stipulate that part of the settlement is to be made on a sight basis and part on a usance (or tenor) basis.

- **Assignment of proceeds** – a document examiner must check whether:

  - there is any instruction from the beneficiary authorising the payment of all or any part of the proceeds to a third party;

  - the signatory (or signatories) on such an instruction have been authenticated and the authority (or authorities) verified:

    - if the beneficiary is a customer, there should be evidence of an in-house verification of the signature;

    - if the beneficiary is not a customer, its own bankers should verify the signature(s) and authorities.

  - the beneficiary has not withdrawn a prior instruction – that is, whether the assignee has provided its agreement to such cancellation.

- **Special documentary credits** – the following relates to special types of documentary credit.

  - **Revolving documentary credit** – in this case, a document examiner must check:

    - the amount drawn under the presentation is in accordance with the revolving clause stipulated in the documentary credit (that is, the terms under which it revolves); and

    - any conditions regarding reinstatement of amounts and whether any undrawn balances are to be reinstated on a cumulative or non-cumulative basis.

  - **Refinancing under a documentary credit** – it may be the case that an issuing bank seeks to use a documentary credit as a means

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of financing either for its own purpose or that of the applicant. In such circumstances, the documentary credit will require settlement to the beneficiary to be effected on a sight or usance basis, but the reimbursement condition will indicate that the nominated bank is requested to provide finance for a period beyond sight or the stated usance period.

Example

A documentary credit is payable 60 days after the date of shipment, but the reimbursement condition is for the nominated bank to claim 120 days after the date of shipment. This provides an additional 60 days' credit.

The beneficiary will receive settlement on the 60th day after the date of shipment, or if it wishes to receive early settlement, it will be responsible for payment of the interest costs up to that 60th day.

The issuing bank will reimburse the nominated bank on the due date for the principle amount plus 60 days' interest costs.

Refinancing can also occur when a draft has been accepted or a deferred payment undertaking has been incurred and, shortly prior to the due date, the issuing bank will request an extension for a further period. Such requests are subject to the agreement of the bank that has accepted the draft or incurred the deferred payment undertaking. If such instruments have been prepaid or purchased, an agreement will also need to be made as to who will be responsible for the additional interest cost.

- **Advance payment documentary credit** – a document examiner must check whether the presentation is in respect of an advance payment or whether part of the proceeds are to be applied against any outstanding advance.

- **Transferable documentary credit** – a document examiner must check:

  - whether the presentation is from the second beneficiary or first beneficiary; and

  - that the settlement is to be made in accordance with the terms of the transfer.

Collection of charges – to determine the settlement amount, a document examiner should establish which party is responsible for the payment of charges under the documentary credit and whether any charges have already been collected. Usually, when charges are for the account of the beneficiary, they are deducted from the proceeds paid to it. If charges are

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for the account of the applicant, they are collected by the issuing bank in addition to the drawing amount and distributed accordingly. The beneficiary and the applicant often agree to apportion the charges, with the beneficiary being responsible for charges other than those of the issuing bank.

UCP 600, sub-article 37(c), outlines the position regarding charges that have been incurred by a party under a documentary credit that cannot be collected as instructed – that is, due to non-utilisation of the documentary credit with a nominated bank.

> **c.** A bank instructing another bank to perform services is liable for any commissions, fees, costs or expenses ("charges") incurred by that bank in connection with its instructions.
>
> If a credit states that charges are for the account of the beneficiary and charges cannot be collected or deducted from proceeds, the issuing bank remains liable for payment of charges.
>
> A credit or amendment should not stipulate that the advising to a beneficiary is conditional upon the receipt by the advising bank or second advising bank of its charges.

17.2.4 Payment, negotiation, prepay and purchase

When a documentary credit has not been confirmed, it is widely understood that any negotiation thereunder may be made with recourse to the beneficiary. For a documentary credit that has not been confirmed and is available with a nominated bank by payment, any payment to the beneficiary should be made without recourse unless a recourse agreement has been made with that beneficiary.

Note that except for sub-article 8(a)(ii), UCP 600 does not provide any guidance with regard to the scope of recourse that may be available, and a nominated bank would be well advised to document the basis under which recourse will occur and to make this known to the beneficiary, either in its advice of the documentary credit or prior to effecting settlement.

17.2.4.1 Payment / negotiation with recourse

If complying documents have been presented to a bank that has agreed to act on its nomination to negotiate and such bank has communicated the extent of this agreement to the beneficiary, the bank will often agree to advance funds on the basis that it is with recourse to the beneficiary.

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Recourse entitles a nominated bank to reclaim the funds in the event that reimbursement is not forthcoming from either the issuing bank or confirming bank, as applicable.

Because a nominated bank is effectively providing a period of short-term finance to the beneficiary, such payments are generally recorded as a risk against the beneficiary and / or the issuing bank and / or the confirming bank. It is reversed only upon receipt of reimbursement. Reimbursement made by the issuing bank or the confirming bank is without recourse.

A nominated bank may also be prepared to pay or negotiate a discrepant presentation on a 'with recourse' basis, either against a formal indemnity or under an arranged negotiation facility established up to an agreed limit for the beneficiary.

To determine that its bank is acting within its mandate and before making payment to the beneficiary, a document examiner must be aware of:

- the extent to which its bank has agreed to act in the role of nominated bank;
- whether an indemnity has been provided for a non-complying presentation or a recourse agreement is in place; and
- whether the beneficiary has a separate negotiation facility.

17.2.4.2 Payment / negotiation without recourse

Payment made by an issuing bank and payment or negotiation effected by a confirming bank, in settlement of a complying presentation, is always without recourse to the presenter. This means that, once paid, the funds cannot be reclaimed. Similarly, once a draft has been accepted or a deferred payment undertaking incurred by an issuing bank, confirming bank or nominated bank, this cannot be undone, except possibly in the circumstances of fraud.

When honouring a documentary credit available by payment, a nominated bank may look to reach an agreement with the beneficiary that any settlement is with recourse, otherwise it will be without recourse.

In some cases, a nominated bank may provide a commitment to the beneficiary that has a similar effect to adding a confirmation to the documentary credit. Such commitments go under a number of names, including 'commitments to honour' or 'commitments to negotiate', but the most frequently used term is 'silent confirmation'.

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Because banks issue silent confirmations, it is important to understand the following key issues.

- The essence of the arrangement is that a third bank or nominated bank provides an undertaking, at the request of the beneficiary, to honour or negotiate. A bank that provides a silent confirmation is not recognised as a confirming bank in the context of UCP 600, article 8.

- An issuing bank that has neither requested nor authorised such commitment or confirmation is not informed of the silent confirmation (thus the reference to 'silent').

- Because the bank giving the commitment or silent confirmation is not recognised under UCP 600, such bank will normally insist that the beneficiary assigns its rights under the documentary credit to the bank. The beneficiary will also usually be required to obtain the prior approval of the bank to all amendments.

- The undertaking given in a commitment or silent confirmation will be in the form of a separate agreement given by the bank to the beneficiary. This agreement should detail all the terms and conditions that will apply to the fulfilment of the commitment or silent confirmation.

17.2.5 Providing short-term finance

Documentary credits provide a mechanism for a beneficiary and an applicant to manage their cash flows better. An applicant may request that a documentary credit be made available by acceptance, deferred payment or usance negotiation. This can give the applicant time to sell the goods into the local market before being required to reimburse the issuing bank under the terms of its counter-indemnity or agreement to issue the documentary credit.

A beneficiary may be able to obtain immediate payment from a nominated bank by requesting that complying documents be purchased, prepaid or negotiated.

17.2.5.1 Negotiation (advancing)

Interest and charges are usually deducted up front, and settlement is made after such deductions. The nominated bank will receive reimbursement from the issuing bank or from a confirming bank, if applicable, for the face value of the drawing.

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17.2.5.2 Prepay or purchase

UCP 600, sub-article 12(b), provides a specific authorisation for a nominated bank to prepay or purchase under a documentary credit that is available with it by acceptance or deferred payment.

> **b.** By nominating a bank to accept a draft or incur a deferred payment undertaking, an issuing bank authorizes that nominated bank to prepay or purchase a draft accepted or a deferred payment undertaking incurred by that nominated bank.

Note that this authorisation extends only to situations in which the nominated bank has accepted a draft drawn on it or in which it has incurred its own deferred payment undertaking. It does not extend to situations in which a nominated bank may be requested by a beneficiary, and so agrees, to prepay a deferred payment undertaking incurred by another bank – that is, the issuing bank, confirming bank or another nominated bank. The discounting of accepted drafts is a matter covered in applicable bill of exchange law and local law practices.

Banks often refer to the advancing of funds as a discount of the proceeds rather than use the legal terms 'prepay' or 'purchase'.

In documentary credit operations, drafts are drawn on the issuing, nominated, confirming or reimbursing banks. If accepted, they provide the means by which the beneficiary or its bankers may be able to obtain finance prior to the due date. In discounting drafts, interest and charges are deducted up front, and payment is made after such deductions. On the maturity date, the holder expects to receive payment for the face value of the draft.

A draft should be examined to ensure that it has been properly accepted. This should include verification of the authenticity of the acceptance. In most cases, the sending of a SWIFT message from the accepting bank to the presenter or nominated bank serves as the advising of an acceptance of the documents and an advice of the maturity date. Care also needs to be taken that maturity dates are recorded and noted to ensure either that claims are made or that sufficient funds are available to meet claims at maturity.

However, you should recall that a documentary credit available by deferred payment requires no draft to be presented.

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17.3 Transmitting proceeds

Having established the amount that is to be paid in settlement of a complying presentation, the next stage is to identify the method by which payment is to be made. The following sections summarise the payment procedures available to a named nominated bank, a confirming bank, any bank in a freely available documentary credit and the issuing bank.

17.3.1 Settlement by a named nominated bank

An issuing bank will name a specific nominated bank for a variety of reasons, for example because it maintains an account with it. The named nominated bank may be required to pay the beneficiary and then claim from the issuing bank. An established relationship between the nominated bank and the issuing bank will help in this regard.

If a documentary credit is in the currency of the country in which both the nominated bank and the beneficiary are located, the bank may be able to debit the account of the issuing bank and effect payment in terms of the beneficiary's instructions.

If a documentary credit is in another currency and stipulates that a reimbursement claim is to be made directly to the issuing bank, the nominated bank's claim will indicate the details of where the issuing bank is to make payment.

A documentary credit may also indicate the details of the name of a reimbursing bank (usually domiciled in the country of the currency) to which a reimbursement claim should be sent.

Two significant problems for a nominated bank and a beneficiary relate to:

- matching the value date of funds to be received by the nominated bank with the value date to be applied to the payment made to the beneficiary; and
- possible delays in the nominated bank receiving reimbursement.

Bank-to-bank reimbursement is covered more fully in Chapter 22.

17.3.2 Settlement by a confirming bank

Most of the comments made in respect of a named nominated bank will also apply to a confirming bank. The main difference is that the confirming bank is required to effect settlement to the beneficiary in accordance with

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the terms and conditions of the documentary credit and of its confirmation, and in doing so it will attempt to match the value date of the payment to the beneficiary with the date on which it expects to receive reimbursement from the issuing bank or a reimbursing bank.

A confirming bank, as part of its decision process to confirm the credit, may insist upon a specific form of reimbursement instruction to be put in place.

17.3.3 Settlement by any bank in a freely available documentary credit

The claims procedure by a bank nominated in the circumstances of a freely available documentary credit are also the same as those for a named nominated bank. The one exception is that there may be no ability to debit the account of an issuing bank, unless such nominated bank is also the advising bank and therefore the holder of any accounts in the name of the issuing bank.

17.3.4 Settlement by an issuing bank

The issuing bank is required to reimburse the nominated bank and, sometimes, to honour a presentation made directly by or on behalf of the beneficiary. In these circumstances, the issuing bank cannot escape liability for any delay in effecting settlement.

17.4 Transmitting claims, effecting payment and advising beneficiaries or nominated banks

Most of the problems related to payment of proceeds are caused by the use of non-standard messages and advices. In order to minimise these problems, the international practice (where possible) is to use SWIFT, the advantages of which are that:

- most messages are authenticated automatically;
- there are specific message formats for specific tasks associated with paying a beneficiary and a nominated bank;
- the formats used have unique fields for each element of the message; and

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- the fields that are essential are mandatory, which means that the message cannot be sent without their completion.

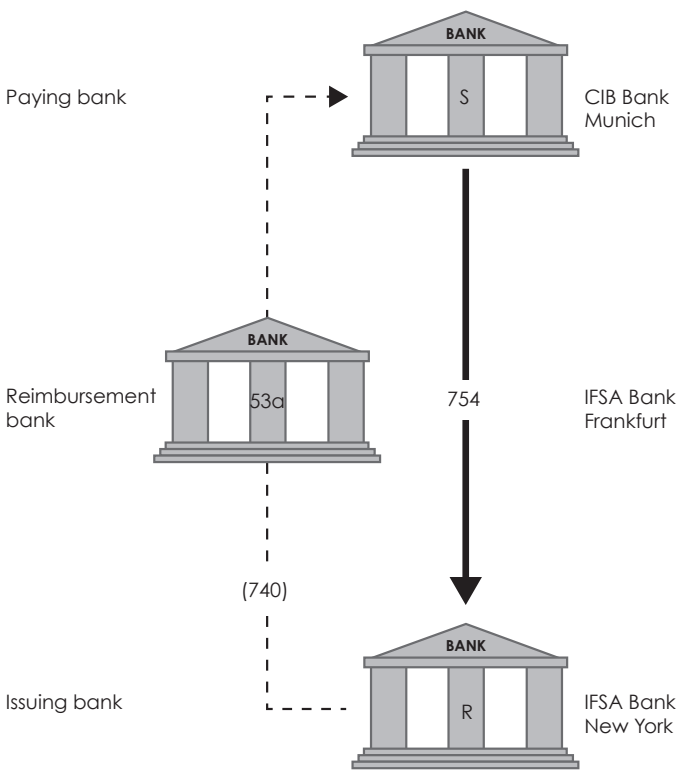
More information can be obtained from the SWIFT operating guidelines.

17.4.1 SWIFT message types

Information flow charts extracted from the SWIFT operating guidelines are shown for message types:

- **MT754** – advice of payment / acceptance / negotiation (Figure 17.1); and
- **MT756** – advice of reimbursement or payment (Figure 17.2).

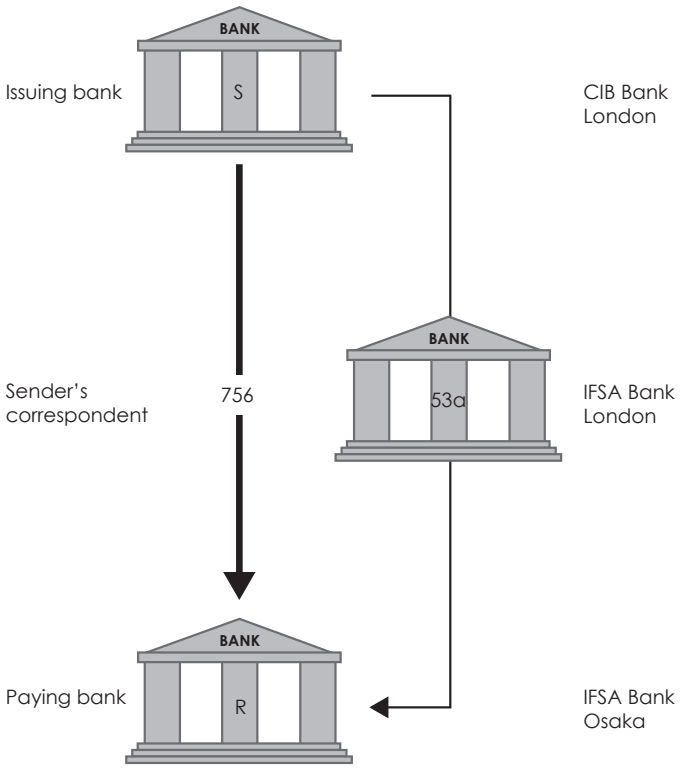
Figure 17.1 MT754 (Advice of payment / acceptance / negotiation)



Source: SWIFT

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Figure 17.2 MT756 (Advice of reimbursement or payment)



Source: SWIFT

Note that the number codes in Figures 17.1 and 17.2 refer to the SWIFT MT message types. For example, the reference to '740' refers to the SWIFT MT message that is sent by the issuing bank to the reimbursing bank to provide a reimbursement authorisation. The figure '53a' refers to the field in the MT700 in which the name of the reimbursing bank will be indicated. The letter 'S' refers to the sender and 'R', to the recipient.

Questions

1. 'A documentary credit expires in the country of the beneficiary and the advising bank. The advising bank is named as the nominated bank, and the amount of the documentary credit is available to the beneficiary against presentation of drafts drawn on the issuing bank at 30 days

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after shipment accompanied by specified documents in Field 46A.' Of what type of availability is this a description?

A. Acceptance

B. Deferred payment

C. Negotiation

D. Payment

2. A customer of your bank, who is the beneficiary of a documentary credit available by negotiation and confirmed by your bank, presents a set of documents to you. The payment is due 90 days after the date of shipment. The beneficiary asks you to advance funds to it. If the documents meet the requirements of the documentary credit, what is this type of negotiation?

   A. Negotiation under reserve

   B. Negotiation at sight

   C. Negotiation with recourse

   D. Negotiation without recourse

3. When a documentary credit is made available with a nominated bank by payment, which of the following reimbursement instructions is not appropriate?

   A. Debit the account of the issuing bank held with the nominated bank.

   B. Claim reimbursement from a named reimbursing bank.

   C. Issuing bank to reimburse the nominated bank on receipt of documents by the issuing bank.

   D. Issuing bank to reimburse the nominated bank upon receipt of a SWIFT message indicating the presentation of complying documents to the nominated bank.

4. 'A documentary credit is available with a nominated bank by acceptance of a draft drawn at 90 days after the date of shipment. The documentary credit has not been confirmed. The beneficiary presents complying documents to the nominated bank, and requests the nominated bank to accept the draft and to advance the funds to it *less* the charges and interest costs of the nominated bank. The nominated bank agrees. On

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the due date, the issuing bank is not in a position to reimburse the nominated bank because of its insolvency. The nominated bank, which had not confirmed the credit, has the right to seek recourse from the beneficiary.' Is this statement true or false?

A. True

B. False

5. A documentary credit is available with a nominated bank by deferred payment. The credit is not confirmed. The beneficiary presents documents to the nominated bank that are found to be in compliance with the terms and conditions of the credit. The beneficiary requests that the nominated bank issue its deferred payment undertaking and then provide a prepayment thereof. The nominated bank declines and states that it is not willing to take the documentary risk. The documents are sent to the issuing bank for honour. The issuing bank sends an advice to the nominated bank, indicating that the documents have been taken up and that, on the due date, the issuing bank will effect settlement to the nominated bank. The beneficiary now requests the nominated bank to provide an advance based on the advice of the issuing bank. Which of the following is true?

   A. The nominated bank may go ahead and provide an advance based on the advice of acceptance received from the issuing bank.

   B. The nominated bank may go ahead and provide an advance on the basis that both it and the issuing bank find the documents to be compliant.

   C. The nominated bank may go ahead and provide an advance, provided that it issues its own deferred payment undertaking.

References

SWIFT Operating Guidelines

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